FREE CHECKLIST

Investing in Germany as an Expat: The Checklist

The hurdles, the German tax basics and the questions to ask before you invest. Figures for 2026, status October 2026.

7 expat hurdles: tick them off first

- [ ] **1 Paperwork.** German address (Anmeldung), tax ID (Steuer-ID, the letter can take weeks) and a German bank account.
- [ ] **2 Your home country.** Accounts, pensions and investments back home stay. Look up its rules for foreign accounts and funds.
- [ ] **3 Two tax systems.** A tax treaty usually decides who taxes what. Dividends can be withheld at source. Keep statements.
- [ ] **4 The products.** Funds sold to retail investors in Germany are mostly UCITS funds with a Key Information Document (KID). Your home fund may not be offered.
- [ ] **5 The advice.** Many bank advisers earn commission (Provision). Ask a fee-only adviser (Honorarberater) for the total yearly cost in percent, in writing.
- [ ] **6 Moving.** An address change can restrict or close your account. Tell your broker before you move.
- [ ] **7 Language & pensions.** Do not sign what you do not understand. Check if your German pension can follow you home.

For Americans: the 3 extra traps

- [ ] **1 The broker says no (FATCA).** Many foreign firms decline US persons (citizens, green-card holders, substantial-presence test). Ask each broker; the list changes.
- [ ] **2 The fund is blocked (PRIIPs / KID).** Most US-listed ETFs have no KID, so many EU brokers will not sell them to EU residents.
- [ ] **3 The IRS penalty (PFIC).** Most European funds are PFICs for US tax: Form 8621 per fund, per year, and harsh default rules. QEF or mark-to-market elections can help, with paperwork and deadlines.

Reporting: FBAR if foreign accounts together exceed $10,000 at any time in the year. Form 8938 from $200,000 (single, living abroad, last day of the year). List every account you have, in Germany and back home, with balances.

German tax basics for investors (2026)

Flat tax Abgeltungsteuer	25% + solidarity surcharge = 26.375%. Church tax (8–9% of the tax) on top if you pay it.
Allowance Sparer-Pauschbetrag	€1,000 single, €2,000 couples filing together a year. Give your broker a Freistellungsauftrag.
Partial exemption Teilfreistellung	30% of gains tax free for many stock funds.
Advance tax Vorabpauschale	Base rate 2026: 3.20%, on accumulating funds, due even if you sold nothing.

5 questions for any broker

1. Do you accept clients with my nationality and my German address?
2. Which funds can I buy?
3. Do you give tax reports I can also use for my home country?
4. What are all the fees?
5. What happens to my account if I move?

5 questions for your tax adviser

1. How will my home country tax the funds I plan to buy?
2. Does the tax treaty cover dividends and gains on these funds?
3. Which forms must I file for foreign accounts and funds?
4. What does this setup cost me in total per year?
5. What changes if I move?

What to do this week

- → Ask your broker if they accept you.
- → Book one hour with an adviser who knows both countries.
- → Start with an emergency fund (Tagesgeld), then pick one simple plan and automate it.

Watch the full video: @justinvsgermany

General information only, not tax, legal or investment advice. Figures for 2026, status October 2026. Rules, rates, thresholds and broker policies change, so check each one before you act. For your own situation, ask a Steuerberater and, if your home country taxes you, a cross-border adviser. © 2026 The Price of Germany · thepriceofgermany.com